

FORM TP 2014171



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CARIBBEAN EXAMINATIONS COUNCIL
CARIBBEAN ADVANCED PROFICIENCY EXAMINATION®

ECONOMICS

UNIT 2 – Paper 02

2 hours 30 minutes

02 JUNE 2014 (p.m.)

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C.E.S.E.C.

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This paper consists of THREE sections: I, II and III.
2. There are TWO questions in each section. Candidates MUST answer THREE questions, ONE from EACH section.
3. Answers for ALL questions must be written in the answer booklet provided.
4. Begin EACH question on a separate page.
5. You may use a silent, non-programmable calculator to answer questions.

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02216020/CAPE 2014



SECTION I

MODULE 1: MODELS OF THE MACROECONOMY

Answer ONE question.

1. (a) Define the term 'intermediate good'. [2 marks]

(b) (i) Explain why intermediate goods are NOT counted in the calculation of GDP. [2 marks]

(ii) Define the term 'value added'. [2 marks]

(c) The following information is given for the Oilandia economy.

Items	Amount (\$ Millions)
Wages and salaries	800
Consumption expenditure	600
Taxes	250
Transfer payments	50
Profits	200
Investment	150
Government spending	200
Exports	300
Imports	275
Rents	75

(i) a) State the formula for calculating gross domestic product (GDP) using the expenditure approach. [2 marks]

b) Calculate the GDP for Oilandia, using the expenditure approach. [2 marks]

(ii) a) Explain the income approach for calculating GDP. [3 marks]

b) Calculate the GDP for Oilandia using the income approach. [3 marks]

(d) Describe THREE types of 'leakages' from the circular flow of an economy. [9 marks]

Total 25 marks

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2. (a) Define the following macroeconomic variables:
- (i) Investment [2 marks]
 - (ii) Interest rate [2 marks]
- (b) (i) Distinguish between 'savings' and 'consumption'. [4 marks]
- (ii) With the use of an example, explain the term 'marginal propensity to consume'. [3 marks]
- (c) The following information relates to the aggregate expenditure (AE) for an economy.
- Consumption (C) = $100 + 0.8 Y$
Investment (I) = 200
Government spending (G) = 50
- (i) Calculate the equilibrium level of income. [3 marks]
 - (ii) State the multiplier of the economy. [2 marks]
- (d) Explain the following determinants of the variability of investment:
- (i) Durability [3 marks]
 - (ii) The accelerator [3 marks]
 - (iii) Irregularity of innovation [3 marks]

Total 25 marks

SECTION II

MODULE 2: MACROECONOMIC PROBLEMS AND POLICIES

Answer ONE question.

3. (a) Define EACH of the following concepts:
- (i) Velocity of money [2 marks]
 - (ii) Currency substitution [2 marks]
 - (iii) Monetary transmission mechanism [2 marks]
- (b) Outline THREE reasons for holding money or THREE types of demand for money. [6 marks]
- (c) Assess how the Central Bank can use monetary policy to positively impact aggregate demand. [5 marks]
- (d) Discuss TWO reasons why the Central Bank's policy options to combat inflation may achieve only limited success. [8 marks]
- Total 25 marks**
4. (a) (i) Define the term 'balanced budget multiplier'. [2 marks]
- (ii) Explain the term 'automatic stabilizer'. [3 marks]
 - (iii) Identify TWO examples of automatic stabilizers. [2 marks]
- (b) Explain how government borrowing to finance fiscal deficits can have a negative impact on EACH of the following:
- (i) Inflation [3 marks]
 - (ii) Domestic investment [3 marks]
 - (iii) Domestic interest rates [3 marks]
- (c) (i) Define the term 'fractional reserve banking system'. [2 marks]
- (ii) With the use of an example, describe how commercial banks use a 'fractional reserve banking system' to create money. [7 marks]
- Total 25 marks**

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SECTION III

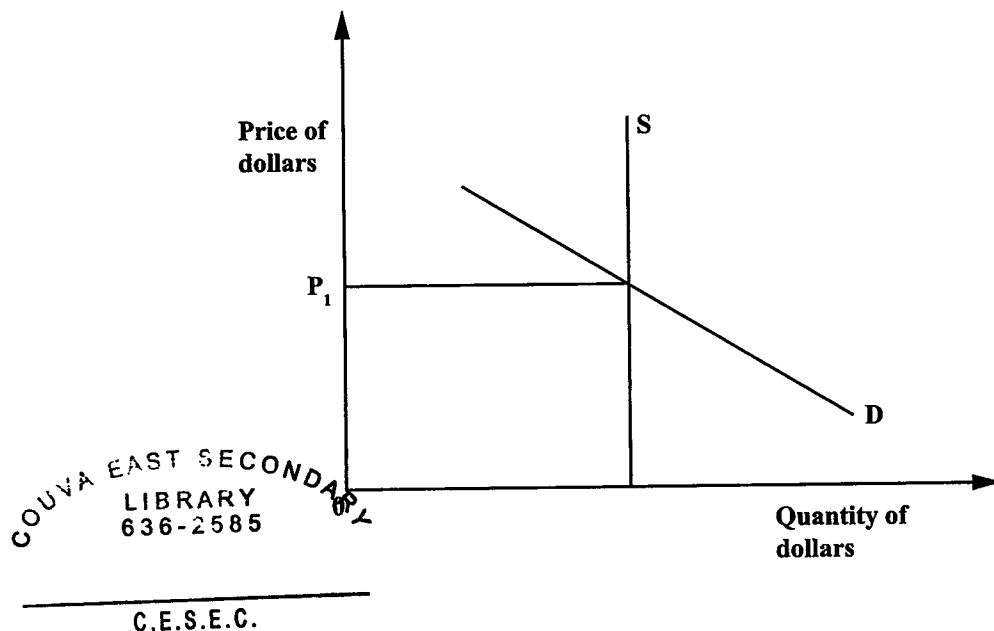
**MODULE 3: GROWTH, SUSTAINABLE DEVELOPMENT
AND GLOBAL RELATIONS**

Answer ONE question.

5. (a) Differentiate between 'economic growth' and 'economic development'. [4 marks]
- (b) Outline THREE determinants of economic growth. [6 marks]
- (c) Explain the concept 'human development index'. [3 marks]
- (d) Discuss THREE ways in which policymakers can enhance the wellbeing of society. [12 marks]

Total 25 marks

6. (a) (i) Distinguish between 'nominal exchange rate' and 'real exchange rate'. [4 marks]
- (ii) Assume that the nominal exchange rate between Trinidad (TT) and Barbados (BBD) currency is TT \$3 equivalent to BBD \$1 and Barbados is the domestic country. Given that a bottle of wine costs TT \$60 in Trinidad and BBD \$20 in Barbados, calculate the real exchange rate. [2 marks]
- (iii) Assume that there is depreciation in the real exchange rate of the Jamaican dollar. State the effect on
- a) the price of Jamaican goods relative to foreign goods [1 mark]
 - b) Jamaican imports [1 mark]
 - c) Jamaican exports. [1 mark]
- (b) Use the diagram below to explain the effect of an increase in demand for imported cars in Trinidad and Tobago on the demand for foreign exchange and the price of the TT dollar (nominal exchange rate).



- (c) Discuss TWO advantages and ONE disadvantage of globalization on developing countries. [12 marks]

Total 25 marks

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.